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Affordable Housing

A home is security and stability — the place we build good, productive lives from.

But our housing market is broken, with houses unaffordable for many, unhealthy for some, and home ownership out of reach for generations of Kiwis. It's time to make houses places to live again, not just investment vehicles.

In addition to costing more than 7 times the median income, some of our homes are causing a serious public health problem. New Zealand has some of the worst rates of respiratory disease and breathing difficulties in the OECD, caused by decades of underinvestment and weak building standards. One in five Kiwis are trapped in cold, damp, and mouldy homes, directly fuelling thousands of preventable childhood hospital admissions and contributing to an estimated 1,600 winter deaths every single year. That is a cost we can not afford.

We need to permanently narrow the gap between wages and house prices by stabilising the market while we lift incomes and we have to build better homes, a lot faster. Opportunity's Affordable Housing policy presents a plan to do just that: Faster, Better, Cheaper.

1. **Faster** (Planning, Consenting & Systemic Pre-Approval)

With over 1,000 disparate regional zones, developers face an administrative minefield. Innovative pre-fabricated and off-site manufacturing methods are stalled by slow council consent, localised design reviews, and endless Requests for Information. To build more and better houses, Opportunity will:

- Build on the Planning Bill with a simplified set of only 10 national consistent zones. These will cut red tape that holds back the higher density development we need, while affording automatic protections for highly productive farmland, civic assets, heritage buildings and nature reserves.
- Expand existing frameworks to ensure a truly centralised pre-approval system for proven building products, off-site manufacturing (OSM), and modular pre-fabricated systems. Once a system is certified at the national level, local territorial authorities will be prohibited from issuing Requests for Information (RFIs) or requiring redundant design reviews. This will reduce the need for building inspections, reducing costs and delays.
- Modify the Unit Titles Act and other legislation to make it faster and easier to build a more diverse mix of homes, including everything from home offices and shop fronts to co-housing, housing co-ops, Papakāinga, and multi-generational homes.

2. **Better** (Quality, Climate & Social Incentives)

Our cold, damp, and mouldy housing stock triggers severe, chronic respiratory illnesses like asthma, bronchiolitis, and rheumatic fever. This gives New Zealand some of the highest hospital admission rates for lung disease in the developed world and places an immense, preventable burden on our public healthcare system. To improve the quality of our housing stock as well as expand it, Opportunity will:

- Expand the "Warmer Kiwi Homes" insulation and heating retrofit programme already run very successfully by EECA to cover private rentals that meet other eligibility criteria. Available retrofits will also expand to include, double glazing, solar and appliance electrification. See our Abundant Energy policy for more.
- Refund 100% of the GST collected during construction directly back to the local council for any new build that achieves strong environmental and build standards (such as Homestar 6+ or Passive House frameworks with future ready EV or Solar infrastructure). This revenue is ring-fenced to fund local infrastructure and expand community housing. This has the added bonus of reducing costs at the local council level, reducing pressure on rates.
- Raise the minimum standards in the existing Healthy Homes Standards for rental properties over time.
- Transition the Building Code away from rigid compliance checklists and toward performance-based energy modelling. This shifts the focus from minimum compliance to actual performance, guaranteeing that all new builds remain healthy, energy-efficient, and naturally self-cooling year-round without relying on expensive mechanical air conditioning.

3. **Cheaper** (Finance and De-risking)

Residential construction is plagued by financial volatility, and has fallen well below demand. When lending conditions tighten, private developers go under, skilled tradespeople flee to Australia, and New Zealand is left with a chronic housing shortage.



Funding for community-led and affordable housing has traditionally been locked behind a messy patchwork of disconnected government grants and loans. This lack of certainty prevents Community Housing Providers (CHPs) from building multi-year development pipelines, while centralised quotas fail to adapt to regional demands.

To expand the supply of affordable homes Opportunity will:

- Task Kāinga Ora with delivering a diverse mix of housing types tailored to regional needs so that smaller towns can clear their housing waitlists entirely and ensure everyone has a safe place to live.
- Take the 'bust' out of the residential construction sector with a 'Crown Build Guarantee' to back reputable residential developments by providing pre-sale and completion guarantees.
- Make the Housing Flexible Fund a permanent capital pipeline and upgrade it so that it uses localised waitlist data to back projects that address specific regional deficits and so that a dedicated share of the fund is reserved for affordable rentals, building the crucial "missing middle" between state housing and private ownership.
- Turn local councils, Community Housing Providers and developers into active partners in ending the housing shortage by expanding the Community Housing lending facility to give councils, CHPs, iwi and reputable private builders direct access to low-cost Crown development finance when they are delivering affordable or social housing that is clearly tailored to local communities' needs
- Defer land value tax liabilities for land under development up to a limit of two years and subject to interest payment. See our Tax Reset for more information on the Land Value Tax.

Affordable Housing — Frequently Asked Questions

How much will this cost?

The foundational, market-stabilising elements of this policy - such as the Crown Build Guarantee underwriting scheme and our low-cost development loans - require no direct, upfront cash from the budget. Instead, they are funded by issuing targeted Housing and Climate Bonds, leveraging the Crown's balance sheet as a contingent liability.
Additional annual operating costs of $311 million are made up of the following:

Element	Estimated Annual Cost	Notes
National Pre-Approval Unit	$15 million	Costed against standard MBIE/Commerce Commission unit setups. Covers national modular certification, factory audits, and digital consenting templates. Becomes partially self-funding over time via manufacturer certification fees.
Crown Build Guarantee & Housing Fund	$30 million	An underlying $500m revolving development fund sits on the Crown balance sheet and is capital-neutral (loans are repaid). The $30m budget line represents a 3% annual risk provision.

Element	Estimated Annual Cost	Notes
Council GST share	$266 million	We estimate renewed construction generating approximately 44,000 new builds at a total cost of $12.6 billion generating $1.9 billion in GST. Assuming 14% meet quality standards results in GST rebates of $266 million.

The Warmer Kiwi Homes expansion has already been costed as part of our Abundant Energy policy.

How do national pre-approvals stop local council delays?
Currently, every builder has to prove the safety and compliance of their building systems over and over again to every single local council across the country for each and every build, leading to endless, repetitive Requests for Information (RFIs) and design reviews.
By scaling the use of systems such as the MultiProof framework, we take core design and component certification out of the hands of local councils and handle it once at a national level. This delivers two massive upgrades to our building system:

- **Quality:** By elevating complex technical sign-offs to a centralised national standard, we ensure that innovative, high-performance building systems are evaluated by the country's top technical experts, not overstretched local council staff. Precision manufacturing in a controlled factory environment inherently delivers superior quality, tighter structural seals, and better thermal performance than building standard homes on a muddy site out in the elements.
- **Certainty:** Currently a design approved in one district can be arbitrarily delayed or rejected by a council inspector in another region. This unpredictability stops companies from scaling up. National pre-approval gives off-site fabricators, banks, and homebuyers certainty. If a system is certified once, it is legally valid everywhere. Banks can lend with confidence, manufacturers can safely invest in advanced machinery, and families get guaranteed, predictable move-in dates.

By restricting local councils to checking local site foundations and utility hookups, they are barred from re-opening structural design files. This avoids months of administrative delay, guarantees a higher-quality build, and provides the exact certainty the sector needs to grow.

How are local councils incentivised to support housing under this plan?
Under the current system, local councils are penalised for growth; they have to fund the expensive pipes, roads, and infrastructure for new housing, but central government pockets all the GST and income tax revenue generated by that growth.

First, by refunding 100% of construction GST back to the local council for any build that hits high environmental baselines, we provide local authorities with an immediate revenue stream. This turns housing development from a financial liability into a powerful revenue generator for local communities, allowing councils to comfortably invest in high-quality social housing of their own.

Second, by giving councils low-cost development loans, we dramatically reduce their financial risk.

Together, these policies reduce the local council workload, reducing pressure on rates and providing local government with a new funding source to get on with the important infrastructure investment that local ratepayers can't afford to fund on their own.

How do the Citizens Income and Tax Reset change rent subsidies?
Under Opportunity's Tax Reset, housing support is modernised to complement the financial floor provided by the Citizens Income. Because renters benefit the most from the broader tax reset, the structural need for emergency interventions will naturally decrease. However, to ensure targeted housing stability, the Accommodation Supplement will be replaced by the Housing Support Income (HSI) built on two fundamental pillars:

- **Decoupled, Instant Support:** HSI is available to everyone who rents, subject to a raised income maximum that captures more middle-to-low-income Kiwis. To stop landlords from swallowing the subsidy, renters only enter their address—not their rent amount. Rates are set to regional maximums, breaking the direct link between state support and rent inflation.
- **Rental Bond Insurance:** To eliminate the stressful cash deficits that occur when moving, traditional cash bonds will be replaced by a low-cost, annual rental bond insurance paid by the renter. Tenants will no longer have to wait to recover a cash bond from a previous landlord just to fund a new one—a practice that forces many low-income families into deep debt. This single shift drastically improves labour mobility and reduces financial anxiety.

The Income-Related Rent Subsidy (IRRS) and Temporary Accommodation Support (TAS) will be retained as essential, targeted backups. However, by removing the waiting lists and approval friction through HSI, these systems will serve as a clean, efficient safety net rather than a default crutch for a broken rental market.

Won't lower house prices hurt everyday Kiwi homeowners?
Our goal isn't to crash the market or penalise families who worked hard to buy a home, especially those who bought at the peak of the market. Our goal is to restore balance.

For decades, runaway speculation has driven a massive, unsustainable wedge between what everyday Kiwis earn and what a home costs. We need to remember what housing is actually for: homes for people to live in, not an investment vehicle for people to retire on.

To fix this responsibly, we need to narrow that gap from both sides:

- **Lifting Incomes and slowing growth:** We want to see New Zealanders' wages rise faster while gently slowing down house price rises. House prices will still rise over time, but by keeping that growth low and stable for several years, we allow real salaries to catch up. This narrows the affordability gap without destabilising the economy.
- **Rewarding work over speculation:** Our broader Tax Reset is specifically designed to cushion this transition. By introducing a Land Value Tax (LVT) to shift speculative capital out of empty land, we are simultaneously delivering significant income tax cuts along with our universal Citizens Income. This means the average working family will keep substantially more of their hard-earned pay packet every single week, boosting household financial security.
- **Lowering the cost to build:** Alongside our Next Economy policies, our focus is on stripping out the unnecessary bureaucratic costs of delivering new housing. By

making construction faster and cheaper, we make it highly economic for property owners and community providers to replace "old, cold, and mouldy" stock with "new, warm, and dry" homes.

This is a multi-year, responsible transition. We are moving New Zealand away from an economy fuelled by untaxed property speculation and into a high-wage, productive economy where shelter is secure and hard work is actually rewarded.

What is the Housing Flexible Fund?
The Housing Flexible Fund is currently a year to year "trial" contestable fund designed to support delivery of social housing and affordable rentals.

We are upgrading this fund to provide long-term, predictable financing for affordable rentals, urban equity-share co-operatives, and whānau-led papakāinga. Turning this into a permanent fixture allows Community Housing Providers (CHPs) and iwi to plan multi-year build pipelines with absolute financial certainty, rather than surviving year to year on disconnected government grants.

What is a Crown Build Guarantee and how does it work?
Residential construction in New Zealand is trapped in a boom-bust cycle. When the economy slows down, banks tighten lending, private buyers pull back, developers go under, and our skilled tradespeople flee to Australia. When the market recovers, we are left with a severe housing shortage and no workforce left to build.

The Crown Build Guarantee permanently takes the "bust" out of the sector by using the government's balance sheet to underwrite reputable residential developments. The Crown provides pre-sale and completion guarantees. By ensuring that these homes will be finished and purchased, banks can safely lend to developers even during an economic downturn. This keeps hammers swinging, maintains a steady supply of houses, and protects our construction workforce from downsizing.

If the government steps in during a market bust, what is the mechanism for stepping back during a boom?
The Crown Build Guarantee is designed to act as an automatic economic stabiliser, it scales down naturally when the private market is healthy.

The guarantee is only triggered when private market pre-sales drop below the threshold required for a project to secure commercial bank financing. During a housing boom, private buyers are plentiful, developments hit their pre-sale targets easily on the open market, and the Crown's underwriting framework remains completely untouched. The government isn't replacing the private sector; we are simply setting a structural floor to ensure construction never grinds to a halt.

How do national pre-approvals and off-site assembly actually lower costs and drive productivity?
The New Zealand construction sector has a productivity problem because we treat almost every house like a bespoke project, built outside in the rain, the same way we have for hundreds of years.

By combining national pre-approvals with Off-Site Manufacturing (OSM), we unlock true industrial scale:

- **Time is money:** Standardized pre-approvals mean that once a factory-built design or modular component is certified nationally, local councils are barred from reopening design files or triggering endless Requests for Information (RFIs). This slashes months off the consenting timeline.
- **Factory precision:** Building in a controlled environment reduces material waste, avoids weather delays, and guarantees tighter structural seals and superior thermal performance.
- **Sector certainty:** When manufacturers know a design is legally valid anywhere in New Zealand, they can confidently invest in advanced automation and machinery, permanently driving down the per-square-meter cost of building.